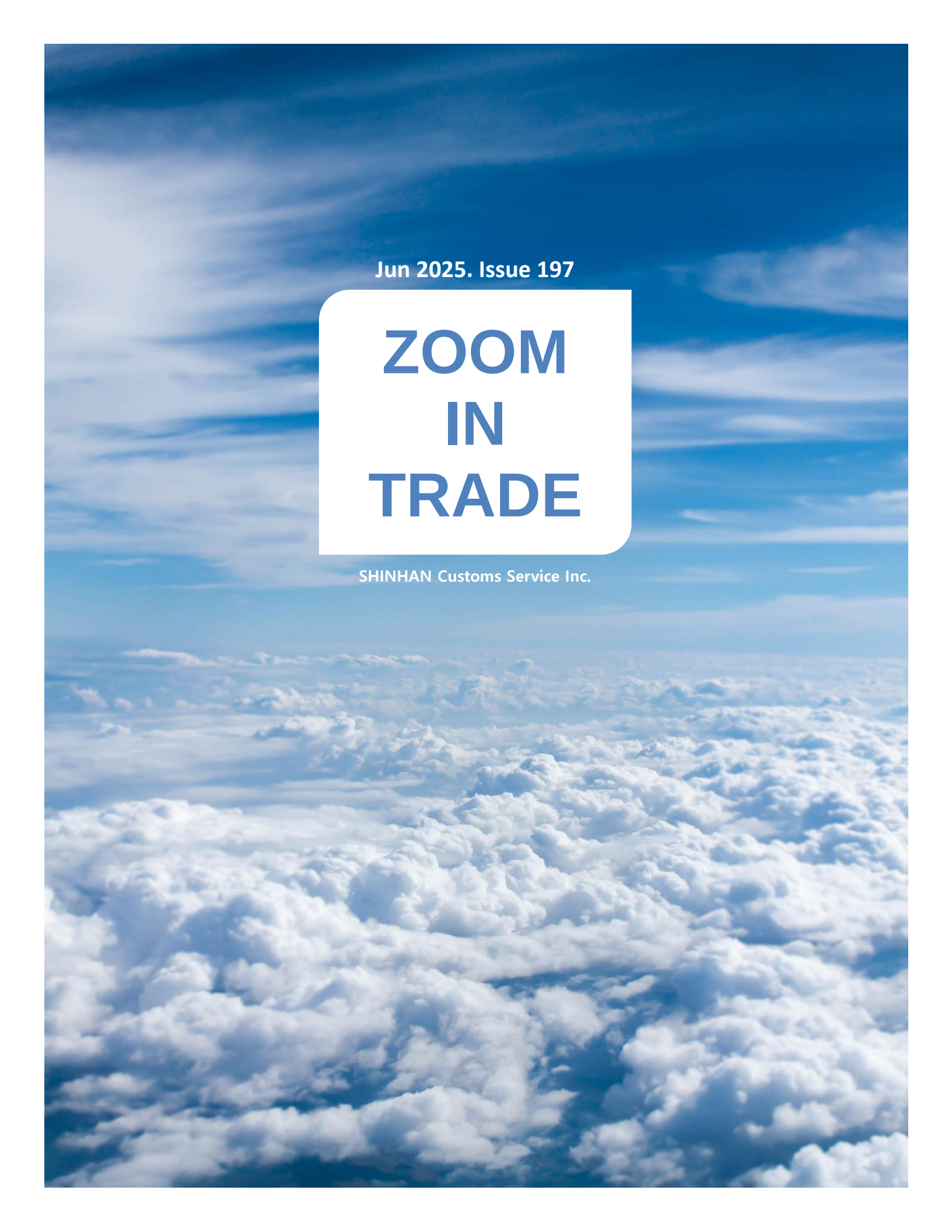




Jun 2025. Issue 197

ZOOM IN TRADE

SHINHAN Customs Service Inc.



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“
Kindness is a virtue that belongs only to
the strong and the brave.
And kindness is a quiet but powerful
testimony that can change the world.
”



Do you know what "mobility disadvantaged" means? It refers to individuals who face difficulties in everyday movement—including persons with disabilities, the elderly, pregnant women, people accompanied by infants, and children. Despite accounting for over 30% of South Korea's 51 million population, the term remains unfamiliar to many.

There is a social group called "[Stair Crusher Club](#)." The word "crusher" may sound confrontational, but this is not a labor union or a protest group. Fondly known as "SCC," [this community was created to provide compassionate information and solidarity for the mobility disadvantaged and their friends. Despite the combative-sounding name, their core value is kindness.](#)

Ideal and Reality for this month is ‘Should we only blame companies for violations of the Foreign Exchange Transactions Act?’, Analysis on Recent Customs Judicial Precedent covers ‘Whether it is appropriate to consider the price of parts for free repair paid to the exporter as an indirect payment amount and add it to the taxable price of the imported goods and impose customs duties, etc.’, and HS case solved by logic reports ‘[Vest (Waistcoat) Item Classification]’, Global Customs Insight is ‘India’s import restrictions on PCs and laptops (HS 8471) require sufficient preparation by Korean companies’ and FTA and import/export practical business guide is ‘Types frequently missed when reporting exports and imports’, Contents

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Kindness is the ability to perceive another's emotions with sensitivity, to respond gently and warmly, and to express care and affection. It goes beyond politeness—it is a way of life rooted in empathy and active consideration. Cooperation over competition, encouragement over blame—this is the foundation upon which trust is built. And where trust grows, communities develop stronger resilience to overcome mistakes and wounds.

Kindness isn't just a human affair. Even plants and animals respond to kindness. Research has shown that plants exposed to music and kind conversation grow more healthily. Gentle voices and touch reduce stress hormones in companion animals. In a study known as the "rabbit effect," rabbits fed a high-fat diet but cared for with affection showed 60% less arterial fat than those without such care.

Stairs: Forbidden Structures for Some

Why does the name "Step Crusher Club" feel so aggressive? Because it reflects pain. The pain of someone who simply wants to join friends at a restaurant or enjoy a coffee with family—but must first exhaust themselves searching for accessible locations. "I don't want to get tired just from preparing to go out," they plead. Their voice exposes how indifferent society can be.

How subjective and self-centered have our perspectives on space been? While some walk briskly up stairs without a thought, others must wind their way around ramps—if such options even exist. What is convenient for many can be exclusionary for others.

Ancient civilizations treated height as sacred. Kings climbed stairs to approach the divine. Stairs symbolized power. In such societies, there was neither reason nor room for considering the mobility of others. Sadly, many of today's spaces still embody this vertical logic of power.

To Those Who Mistake Kindness for Weakness

Some see soft speech, empathy, and attentiveness as inefficient. They regard kindness as a vulnerability that leads to losing in a competitive world. They believe strength lies in coldness and

detachment—as though they must be kings of their own fortified domains.

But [true kindness is the courage to step into another's pain](#). It is the strength to disarm oneself in a world that demands armor. It is [not sentimental impulse but the fruit of deep self-assurance and conviction](#).

Like Yun Dong-ju's Poetry, Kindness Transcends Time

Poet Yun Dong-ju, who once wrote, "Even the wind on a leaf brought me anguish," lived with compassion for the fragile and shame at being unable to protect them. Yet, [in his own quiet way, he walked bravely through a dark colonial era](#). His poetry, woven with tenderness and purity, suffering and resistance, still speaks to us:

"Are you living without a single shameful deed?"

Now Is the Time to Declare an Era of Kindness

The presidential election has ended. The long season of conflict and bitter division has passed. A new president has taken office—but a 49.4% vote share means half the country did not offer support. [The president must be a leader not only for the 17.28 million who voted for them, but for all 51 million people](#).

[What we need is a Copernican Revolution](#). Just as people once believed Earth was the center of the universe until a new truth reoriented their worldview, we too must [shift—from a paradigm of division and blame to one centered on kindness](#). [Let empathy, not enmity, guide our public life. Let cooperation replace rivalry](#).

It is easy to lash out at others. But it takes strength to master your emotions, to begin an inner struggle, and to embrace others.

[Kindness is a virtue that belongs only to the strong and the brave. And kindness is a quiet but powerful testimony that can change the world](#).

Let us all become witnesses of kindness.

Thank you.





Ideal and Reality

Should we only blame companies for violations of the Foreign Exchange Transactions Act?

It is necessary to make sure employees are aware of the offset report, and authorities should prioritize improving unnecessary procedures.

1. Strengthening inspection of compliance with the Foreign Exchange Transaction Act, but is it only the responsibility of companies?

Customs investigations and foreign exchange inspections for compliance with the Foreign Exchange Transactions Act are gradually strengthened in 2025. During the investigation process, the reporting of various foreign exchange transactions will be mainly confirmed, such as offsets for payments exceeding USD 5,000 per case, third-party payments, payments exceeding USD 10,000 not made through foreign exchange banks, non-receipt of goods for more than one year for import payments exceeding USD 20,000, and delayed shipments for more than one year for export payments exceeding USD 50,000.



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In addition, matters related to capital transactions, such as establishment of overseas corporations, borrowing foreign currency, opening of foreign currency accounts for headquarters, acquisition of overseas real estate, establishment of foreign branches, guarantee of debt of foreign companies, and borrowing of Korean won overseas, are also being closely reviewed for compliance with the Foreign Exchange Transactions Act.

However, in actual workplaces, accounting and finance departments in charge of foreign exchange transaction practices often perform their work without fully understanding the laws and regulations, and even departments in the field where actual foreign exchange transactions, such as offsets and third-party payments, occur often lack understanding of the relevant procedures.

The Foreign Exchange Transactions Act delegates authority to various agencies such as the head of a foreign exchange bank, the head of the Bank of Korea, the Financial Supervisory Service, the Korea Customs Service, and the National Tax Service, so the reporting and confirmation process is bound to feel complicated for companies. Although the Foreign Exchange Transactions Act is a law that addresses procedural violations rather than substantive illegalities, there are many cases that result in fines or criminal punishment. It should not be overlooked that most violations are not intentional but are often 'mistakes due to ignorance' resulting from complex procedures and differences in interpretation.

2. The responsibility of banks in charge of foreign exchange operations should not be overlooked.

In Korea, which is an export-oriented country, the Foreign Exchange Transactions Act, Customs Act, and HS Product Classification are not properly taught even in universities, so business practitioners are often assigned to work without fully understanding these laws.

The head of Foreign exchange bank is entrusted with handling foreign exchange payments and receipts, offset reports, mutual accounting reports, capital transaction reports, etc. from customers, but there are criticisms that actual bank tellers also lack interest in or proficiency in the Foreign Exchange Transactions Act.

Companies usually visit the foreign exchange counter of a commercial bank for foreign exchange transactions, and request remittance or receipt by presenting related documents such as invoices and import/export permits. At this time, the foreign exchange counter teller reviews the related documents and processes the transaction, so they are the entity that can practically guide foreign exchange transaction procedures at the closest location. Nevertheless, if a company repeatedly visits the foreign exchange counter and violates the law, this can be seen as one of the causes not only because of the difficulty of the law but also because of the lack of guidance from the bank.

In particular, the offsetting process for foreign exchange transactions, reporting of changes in payment methods, reporting of loans and deposits and settlement reports for mutual calculations, reporting of capital transactions, and post-management are key procedures that the counter teller must provide detailed guidance on. If they simply focus on the accuracy of foreign currency amounts and neglect procedural requirements, it is difficult to say that they have fulfilled their responsibilities as a delegated agency. Until now, sanctions for violations of the Foreign Exchange Transaction Act have been mainly focused on companies, and banks have not been held accountable for their role with a reason that they are delegated agencies. However, this can be considered an institutional imbalance. In particular, if commercial banks, which earned over 5 trillion won in profits in the first quarter of 2025 alone through the expected margin, neglected to provide practical guidance to their main clients, companies, they cannot be free from responsibility.

3. If there is no real harm in the procedural violation, the sanction should be reconsidered.

At the end of 2023, the Ministry of Strategy and Finance's Foreign Exchange System Division interpreted "those who apply for mutual calculation" and "those who implement" as the same in relation to the mutual calculation procedure. However, many companies and banks viewed the concepts of application and implementation as clearly different, and have been operating accordingly in practice. Nevertheless, the Foreign Exchange System Division maintained a different authoritative interpretation, and foreign exchange banks did not express any particular objection to this.

There have been cases where companies operating mutual accounting accounts were fined for not submitting a settlement report even though they did not actually perform mutual accounting due to the absence of foreign exchange transactions in a specific month. It can be said that it is a typical example of excessive administrative interpretation to be sanctioned simply for not separately reporting "no transactions" even though the Foreign Exchange Transactions Act is not applicable if there are no foreign exchange transactions.

The requirement to report the absence of transactions every month is like asking a restaurant owner to report to the government every day that “there were no customers today.” It is difficult to accept the reality that a company is being fined 900 million won for not reporting separately, even though foreign exchange banks know better than anyone whether there are transactions.

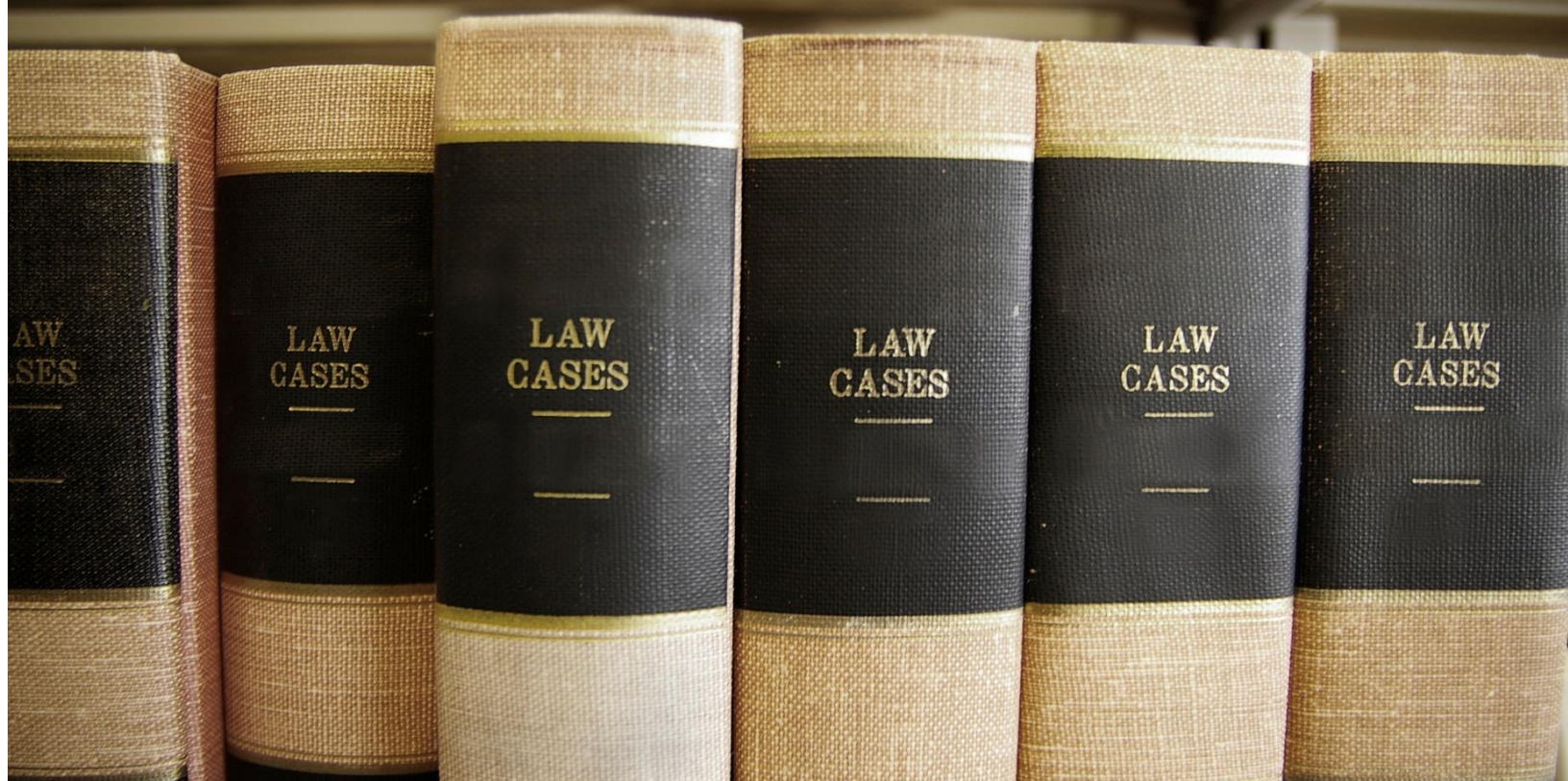
Law and economics scholar Richard Posner believed that there was no need to impose sanctions if procedural violations did not lead to social costs or harm, and legal scholar H.L.A. Hart also believed that punishment should be justified on the premise of minimal harm. In light of this position, excessive sanctions for simple failure to follow procedures need to be reconsidered.

4. Foreign Exchange Transactions Act, simplification of procedures and clear division of responsibilities are necessary

Violations of the Foreign Exchange Transactions Act are often caused by complicated procedures, difficult interpretation, and lack of guidance from banks in charge of foreign exchange operations, rather than intentional cases. There are many provisions where compliance with the procedures themselves does not bring about practical benefits, so regulations that only result in waste of administrative power need to be improved.

The current Foreign Exchange Transactions Act and its enforcement ordinances, enforcement rules, and regulations lack systematic connections between articles, and arbitrary interpretations that are not based on history are frequent. In the future, it is desirable to divide the laws into foreign exchange business for companies and individuals and foreign exchange handling institutions, and to reorganize the legal system more intuitively so that the public can easily understand and comply with it.

In an era where new forms of international transactions such as e-commerce and virtual currency are on the rise, if the existing complex procedural laws remain in place, the number of companies unfairly subjected to high fines will only continue to increase. Clearer and more effective legislation is urgently needed.



Analysis on Recent Customs Judicial Precedent

**Whether it is appropriate to consider the price of parts for free repair paid to the exporter as an indirect payment amount and add it to the taxable price of the imported goods and impose customs duties, etc.
Tribunal 2023-Gwan0098 (Decision date:04-22-2024)**

1. Issue

It is necessary to review whether the price of parts for free repair paid by the claiming corporation to the dealer should be viewed as an indirect payment to the exporter (indirect payment amount) under the Customs Act, and thus whether the amount should be added to the taxable value of the imported goods.



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2. Facts

The claimant corporation imported an automobile (the item at issue) from Japanese company A and sold it to a domestic dealer. When a defect occurred in the vehicle during the warranty period, the dealer repaired it free of charge. The dealer purchased the parts used for the repair from the claimant corporation for a fee. After the free repair, the dealer billed the claimant corporation for the cost (cost of parts + labor). The claimant corporation then billed the exporter for a portion of this cost (import cost + labor, etc.).

The difference (the amount in dispute) between the cost paid by the claimant to the dealer and the amount recovered from the exporter was the profit made by the claimant when selling for a fee, and the structure was to retroactively cancel the profit when repairing for free. The Korea Customs Service judged that this difference should be added to the taxable price of the imported automobile as an indirect payment amount and imposed customs duties, etc.

3. Summary of the judgment

The adjudicator ruled in favor of the claimant for the following reasons:

- (1) The disputed amount is not an amount indirectly paid to the exporter;
- (2) The cost paid to the dealer only has the effect of retroactively extinguishing the profits that the claiming corporation initially obtained through sales for a fee through free repairs.
- (3) There is no evidence of a warranty cost or discount determined in the transaction terms that can be added to the taxable price at the time of import, and
- (4) The responsibility for defect warranty lies with the exporter, and no additional actual profit or loss has occurred to the importer (claiming entity) or dealer.
- (5) Therefore, the disposition of imposing additional customs duties, etc. based on the indirect payment amount by the disposal agency is illegal and therefore cancelled.

4. commentary

This case can be said to have provided an important criterion for determining how the “structure of burden for defect warranty repair costs” affects the taxable price of imported goods.

The tax authorities considered the portion of the profit retroactively cancelled after the claimant sold the parts to the dealer for a fee in the case of free repairs as an “indirect payment amount” by viewing it as “the importer paying the seller’s obligations.” However, the adjudicator dismissed this based on the following:

- (1) The indirect payment amount must be the amount paid directly or indirectly by the importer to the exporter.
- (2) It must be a condition that can be confirmed at the time of importation,
- (3) This is a cost that occurred after the fact, and structurally, it is nothing more than the subsequent extinguishment of the profit from sales for a fee.

This is a case law that clearly states that in order for the warranty cost to be included in the taxable price, it must be an obligation that has been determined in advance in the contract or transaction terms.

5. comment

This case law suggests that in customs valuation practice, when determining whether to include warranty costs in the taxable price, the approach should focus on whether actual profits or losses have occurred and the structure of performance of contractual obligations.

The Korea Customs Service attempted to expand the concept of indirect payment amount to include the difference between the warranty amount paid to the dealer and the warranty amount received from the exporter in the taxable price, but the adjudicator clearly distinguished based on the actual transaction conditions, the subject of warranty responsibility, and the timing of determining the taxable price.

In particular, this case emphasized the principle that “indirect payment amount = actual monetary value paid to the exporter,” and confirmed that the difference arising from the post-settlement structure is not added to the taxable price.

This case clearly shows that it is difficult to include in the taxable price even in transactions with similar free warranty repair cost settlement structures in the future, unless the structure provides monetary benefits to the exporter by the importer.



HS case solved by logic

[Vest (Waistcoat) Item Classification]

1. Outline

As vest-type clothing is often worn as clothing for the transitional season, we would like to learn about the classification criteria for vests (waistcoats) from the perspective of item classification.

2. Product Description

- Material: A fluorescent yellow vest made of synthetic fiber (100% polyester) fabric with padding inside.
- Form: The front is fully openable with a slide fastener, reflective strips are partially sewn on the front and back, and there are pockets on both chest areas and waist areas.
- Purpose: Auxiliary clothing worn while working in construction/industrial sites



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3. Reason for decision

Heading 6202 of the Tariff Table classifies "Women's or girls' overcoats, car-coats, capes, cloaks, anoraks (including ski-jackets), wind-cheaters, wind-jackets and similar articles (other than those of heading 6204)", and subheading 6202.40 classifies "of man-made fibres".

The HS commentary of the same heading (applicable to heading 6101) explains, "It is characterized by the fact that it is generally worn over other clothing for protection against the weather. This heading includes the following... (omitted)... parkas and padded waistcoats."

Note 9 to Chapter 62 of the Tariff Schedule stipulates, "Articles of this Chapter designed so that the front part of the garment is closed left over right are to be regarded as men's or boys' garments, and articles designed so that the right part is closed left are to be regarded as women's or girls' garments. This provision does not apply if the cut of the garment clearly indicates that it is designed for men's or women's garments. Garments if it is impossible to determine whether they are men's or boys' garments or women's or girls' garments are to be classified in the heading corresponding to women's or girls' garments." Therefore, this article should be classified in the heading corresponding to women's garments.

Therefore, since this product is a synthetic fiber (polyester) vest with filling inside, it is classified in subheading 6202.40-1090 in accordance with General Rules 1 and 6 on the interpretation of the tariff schedule.

4. Comments on the decision

In the case of waistcoats, they are sometimes classified as outerwear or other clothing. In this case, waistcoats that are padded and can be worn as outerwear are classified as winter outerwear and are classified under headings 6101 to 6102 or 6201 to 6202. On the other hand, waistcoats that are not padded are sometimes classified as other clothing and are not winter outerwear and are classified under other headings. In order to classify them as winter outerwear according to the description of the heading, the presence or absence of padding is important, so please keep this in mind when classifying items.



Global Customs Insight

India's import restrictions on PCs and laptops (HS 8471) require sufficient preparation by Korean companies

India has been gradually implementing a policy to restrict imports of electronic products in recent years. From November 1, 2023, the Directorate General of Foreign Trade (DGFT) under the Ministry of Commerce and Industry has designated seven items under the HS Code 8471 category, including laptops, tablets, and desktop PCs, as "restricted import items," and made "prior approval (licensing)" mandatory for import.



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These measures are more than just simple import restrictions. They are complexly intertwined with various backgrounds, including the Indian government's industrial policy direction, trade balance management strategy, and security issues, and the need for Korean export companies to respond accordingly is also increasing.

1. Indian government's Make in India policy

The Indian government has been actively promoting the 'Make in India' policy to increase self-reliance in the manufacturing industry, including electronics. To support this, the Production-Linked Incentive (PLI) system was introduced in 2021, and incentives worth more than \$2 billion will be provided to the IT hardware sector over the next six years, and local production by global companies will be fully attracted.

HS Code 8471 items are key targets of this strategy. India is aiming for strategic self-reliance in the electronics industry by reducing dependence on major importers of the item - China (54%), Singapore (16%), and Hong Kong (9%) - and establishing a domestic production base.

2. Complex motivations including security issues and trade balance

The import restrictions on electronic devices are not limited to protecting the industry. As the Internet penetration rate in India has increased, the possibility of personal information leakage and cyber threats through foreign IT devices has increased, and security issues have also emerged as a policy background.

In addition, India is facing a trade deficit structure, with its imports of electronics amounting to \$69.6 billion and exports of \$25.3 billion for the fiscal year 2022-2023. Former Minister of Commerce and Industry Ajay Dua pointed out that "it will be difficult to improve India's current account balance if exports do not increase," emphasizing that this measure is also a strategic choice from a macroeconomic perspective.

3. An invisible wall for Korean companies

On the surface, the portion of HS Code 8471 items in Korea's exports to India is still not high. As of 2022-23, Korean products accounted for only 0.3%. However, the market has great potential for expansion, and at the same time, it is likely to be affected by new non-tariff barriers.

The problem is that even though the system has been implemented since 2023, many of our companies are still not aware of or responding to the system. In particular, there are many cases where exclusive use PCs (equipped with exclusive use software for operating the equipment) for equipment that has already been exported are exported, and Korean exporters and local importers are also not aware of India's import restrictions. As a result, they are complaining about difficulties such as delays in customs clearance, product returns, and disruptions in local distribution due to failure to secure local import licenses.

4. Exceptions and response strategies

There are also clear exceptions to the import restrictions on products under heading 8471. The main exemptions are as follows:

- ① Importing one unit for personal use through e-commerce, or
- ② Import up to 20 items per cargo for R&D, testing, benchmarking, and product development purposes.
- ③ Import for repair, return, or replacement of previously imported goods, or re-import after repair overseas.
- ④ In cases where laptops, tablets, etc. are essential components of capital goods

4	i. Import of Laptops, Tablets, All-in-one Personal Computers, and Ultra small form factor Computers and Servers falling under HSN 8471 shall be 'Restricted' and their import would be allowed against a valid Licence for Restricted Imports. ii. The said Restriction shall not be applicable to Imports under Baggage Rules, as amended from time to time. iii. Exemption from Import Licencing requirements is provided for Import of 1 Laptop, Tablet, All-in-one Personal Computer, or Ultra small form factor Computer, including those purchased from e-commerce portals, through post or courier. Imports shall be subject to payment of duty as applicable. iv. Exemption from import authorisation is provided up to 20 items per consignment for R&D, Testing, Benchmarking and Evaluation, Product Development purposes. Exemption is further provided for import for repair and/or return and/or replacement of IT Hardware sold earlier as well as re-import of such items repaired abroad on self-certification basis. v. In reference to para 2.28 of the FTP regarding re-import of goods repaired abroad, licence for Restricted Imports shall not be required for repair and return of said items. vi. Laptops, Tablets, All-in-one Personal Computers, and Ultra small form factor Computers and Servers which are an essential part of a Capital Good shall be exempted from the import licencing requirements. vii. IT hardware restricted for Import vide Notification 23/2023 dated 03.08.2023 which are manufactured in Special Economic Zones (SEZ) may be imported into Domestic Tariff Area (DTA) without an Import Authorization, on payment of applicable duties (if any). Activities such as re-packing, labelling, refurbishing, testing, and calibration alone within the SEZ are not considered as manufacturing for the purpose of availing this exemption from Import Authorization. viii. Private entities importing the said IT Hardware for supply to – a. Central Government or agencies, undertakings owned and controlled by the Central Government, for Defence or Security purposes; b. State Government for Security purposes;	23/2023 dated 03.08.2023, 38/2023	19/10/2023
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For regular exports at the corporate level, securing government import approval (license) is still essential. Therefore, Korean companies are required to take strategic responses such as ① securing pre-application procedures for import licenses, ② establishing an understanding of the Indian DGFT system and an administrative response system, ③ cooperation with local agents or partners, and ④ cooperation with partner companies with manufacturing bases in India. In addition, if eligible for import license exemption, it is also necessary to actively utilize the relevant regulations.



FTA and import/export practical business guide

Types frequently missed when reporting exports and imports

We will examine the types of mistakes that export and import practitioners frequently make when filing reports and explain the correct reporting method through several examples.

1. Export declaration with mixed exchangeable and non-exchangeable goods

When exporting goods and non-exchangeable goods together and filling out a single declaration form, beginners in the business sometimes do not know the correct declaration method. I would like to introduce the Korea Customs Service guidelines on the declaration method.



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Instructions

- For non-refundable items (items that do not entail payment), indicate "free of charge (price included)" in the model/specification, enter the actual quantity in the quantity (including quantity), and then enter 0 won in the unit price and amount.
- The amount of non-refundable goods is not included in the payment amount, but is included in the declared price (FOB) and total declared price (FOB).

Example of description

②⑥모델 · 규격	②⑦성분	②⑧수량	②⑨단가(USD)	③⑩금액(USD)
PB-EC4-9/10ED-N	-	5	50	250
PB-EC4-9/10ED-Q		5	50	250
PB-EC4-9/10ED-K (free of charge, USD100)	-	2	0	0
③②수중량	③③수량	12	③④신고가격(FOB)	\$ 600 ₩ 558,000
④①총포장개수		④②총신고가격(FOB)		\$ 600 ₩ 558,000
④③운임(₩)	④④보험료(₩)		④⑤결제금액	FOB-USD-500

※ 환율 930원, 무환물품의 단가 50\$ 인 경우 예시(1란으로 구성된 신고서)

- In case of a mix of exchangeable and non-exchangeable items, the non-exchangeable items are listed in the last model/specification with a different model/specification.
- Exchange rate:930 won. This is an example of non-refundable goods with a unit price of \$50.
(The report with column 1)

2. Omission of price declaration when customs clearance is done through split import declaration

In the import practice process, there are cases where only a part of the entire cargo is cleared first at the request of the importer. In this case, one of the things that is missed is the preparation of a value declaration form. The provision for the omission of a value declaration form in Article 2 of the Enforcement Regulations of the Customs Act is as follows:

However, since the proviso of Article 8 stipulates that items imported in installments are excluded, even if the item subject to installment customs clearance is worth less than USD 10,000, a value declaration must be sent and an import declaration must be made.

Customs Act Enforcement Regulations

Article 2 (Omission of price report)

① The following items are eligible for price reporting exemption pursuant to Article 27, Paragraph 3 of the Act:

1. Goods imported by the government or local governments
2. Government procurement items
3. Goods imported by public institutions pursuant to Article 4 of the Act on the Operation of Public Institutions
4. Goods not subject to customs duties or domestic taxes
5. Items imported as defense industry machinery and its parts and raw materials. However, this is limited to items that have received import confirmation or import recommendation from the head of the central administrative agency related to the item.
6. Raw materials for export
7. Goods imported by specific research institutes pursuant to the provisions of the "Specific Research Institute Promotion Act"
8. **Taxable price items worth less than 10,000 USD. However,** Goods subject to individual consumption tax, liquor tax, transportation, energy and environmental **tax** **Goods imported in installments are excluded.**
9. Items subject to specific volume tax. However, items subject to specific volume tax or ad valorem tax must be selected and applied with the higher tax amount or rate.
10. Goods for which the results of the preliminary examination of the method of determining the taxable price pursuant to Article 37, Paragraph 1, Item 3 of the Act have been notified. However, goods specified in each item of Article 16, Paragraph 1 of the Enforcement Decree of the Customs Act (hereinafter referred to as the "Decree") are excluded.



Contents and Opinion of Customs Trade Amendment

Administrative notice of revision of the “Notice on Export and Return Customs Clearance”

1. Outline

The “Notice on Export and Return Customs Clearance” is a customs service notice that exists to stipulate the detailed matters necessary for customs clearance of exported goods in accordance with the Customs Act and the Special Refund Act. The last revision was effective on February 28, 2025, but an administrative notice was announced once again about two months after the revision was effective.



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2. Reason for revision

- 1) Reflecting uncertain conditions such as US tariff measures, 'steel pipes' loaded and exported on bulk carriers have been added to the list of items subject to shipboard export declaration to support exports in the steel industry.
- 2) Relaxation of obligation to submit loaded cargo list when exporting self-propelled transportation means (aircraft, ships) without loaded cargo
- 3) Excluding items with frequent export declaration errors from the self-correction target, reflecting other easy-to-understand legal standards, etc.

3. Major revisions

- 1) Expansion of items subject to shipboard export declaration
Expanding the scope of shipboard export declarations to support reduction of demurrage and shortening of loading period for steel pipes manufactured domestically and loaded and exported by bulk carrier
※ (Existing) Fresh products, mineral products, fresh seafood, new vehicles loaded on Ro-Ro ships, HS Heading 72 steel products
(Additional) Steel pipes, pipes, tubes, etc. falling under HS headings 7304 to 7306
- 2) Expanding the exemption from submitting a list of loaded cargo when exporting self-propelled vehicles without loaded cargo
Exemption of submission of loaded cargo when exporting self-propelled transportation means without loaded cargo is limited to 'for repair purposes or newly built' → Exemption of submission of loaded cargo list when exporting all self-propelled transportation means without loaded cargo
- 3) Strengthening management by excluding items with frequent export declaration errors from the self-correction target
Items regarding the location of goods and basic location address are excluded from the subject of self-correction ([Appendix 10])

※ Changes of the location of goods to the area out of the jurisdiction of each customs office require cancellation or rejection of the declaration.

4. Comments on the revision

This revision includes content to support the domestic steel industry due to unstable external conditions such as US tariff measures. Although the US-China trade dispute anxiety was somewhat alleviated through the US-China negotiations held on May 10-11, the Trump administration's high-tariff policy is still in place. I hope this revision will significantly improve the situation of our country's steel industry.

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